



EVL1 — Introduction to Evidence and Proof

Module 4 — Estoppel

Lesson 1: Estoppel in Law

Student Lesson Notes

WHAT IS ESTOPPEL?

Opening Scenario

A landlord in Kampala writes a letter to his tenant saying: I confirm that your monthly rent is UGX 300,000 and will remain so for the next two years. The tenant, relying on this letter, signs a business contract with a supplier that assumes rental costs will remain at UGX 300,000. Six months later the landlord demands UGX 600,000 and threatens eviction.

The landlord may argue the letter was not a formal contract. But in a Ugandan court, the landlord faces a powerful obstacle: estoppel. Having made a clear representation that rent would remain at UGX 300,000, and having watched the tenant rely on that representation to his detriment, the landlord may be prevented from now asserting that the rent is UGX 600,000.

Estoppel: A rule of evidence that prevents a person from asserting or denying a fact when that person has previously made a representation, taken a position, or caused another to believe something to be true, and that other person has acted on that belief to their detriment.

The word estoppel comes from the old French *estoupail* meaning a stopper or plug. The doctrine plugs the mouth of a person who would otherwise assert something inconsistent with what they have previously represented.

Section 114, Evidence Act Cap. 8: When one person has by their declaration, act, or omission intentionally caused or permitted another person to believe a thing to be true and to act upon such belief, neither that person nor their representative in interest shall be allowed to deny the truth of that thing in any suit or proceeding between those parties.

Three Elements of Estoppel

- 1. Representation or conduct — a clear representation made by the party to be estopped. Can be a statement, an act, or an omission. Silence can amount to a representation where there was a duty to speak.
- 2. Reliance — the other party must have actually believed the representation and acted on it. If they knew it was false or did not act on it, estoppel cannot arise.
- 3. Detriment — the relying party must have suffered detriment as a result of their reliance. If no detriment resulted, the doctrine has nothing to protect against.

All three elements must be present. If any one is missing, estoppel will not arise even if the other two are clearly established.

Why Estoppel is an Evidence Rule

Estoppel is fundamentally a rule about what a party will and will not be permitted to assert before a court. It regulates what can and cannot be said and proved before the court — which is why it appears in the Evidence Act Cap. 8 rather than a contract statute.

Stanbic Bank Uganda Ltd v Uganda Crocs Ltd *Civil Appeal No. 4 of 2004, Court of Appeal of Uganda* — Examined how representations made by one party affected the rights of the other — illustrating the Ugandan courts' approach to representations and their consequences.

ESTOPPEL BY RECORD

Estoppel by Record (Res Judicata): Operates where a court has already made a final judgment on a matter and prevents the same parties from relitigating that same matter in subsequent proceedings.

The principle: a matter that has been finally decided by a court of competent jurisdiction should not be reopened. There must be finality in litigation.

Two Forms

Cause of Action Estoppel: Prevents a party from bringing proceedings on a cause of action already finally determined between the same parties. If a Ugandan court has finally decided that Party A owes Party B UGX 5 million, Party B cannot bring another action claiming the same amount under the same contract.

Issue Estoppel: Prevents a party from relitigating a specific issue of fact or law necessarily decided as part of an earlier case between the same parties — even if the cause of action in the second case is different.

Requirements

- The earlier decision must have been made by a court of competent jurisdiction.
- The decision must have been final — interlocutory orders do not create estoppel by record.
- The parties in the second proceeding must be the same as those in the first.
- The issue or cause of action must be the same as that decided in the earlier proceedings.

Only what was NECESSARILY decided for the judgment creates issue estoppel — not every point discussed in the judgment. Advocates checking estoppel by record must examine the earlier judgment carefully to determine what was actually decided.

ESTOPPEL BY DEED

Estoppel by Deed: Operates where a party has executed a formal deed containing a statement of fact, and that party is prevented from asserting anything inconsistent with the facts stated in that deed in any subsequent proceedings relating to or arising from that deed.

When a person executes a formal deed, they make a solemn deliberate written statement with legal formalities. The law treats such statements as particularly reliable and prevents the executing party from going back on them in subsequent litigation.

Application in Ugandan Practice

Estoppel by deed arises most commonly in Uganda in land transactions — the most litigated matters in Ugandan courts. When a buyer and seller execute a sale agreement or transfer document, the recitals and statements in that document bind both parties.

- If a sale agreement states that the seller is the registered owner, the seller cannot later claim in proceedings arising from that agreement that they were not the owner.
- Where a mortgage deed states that the mortgagor owes a specified sum, the mortgagor cannot in proceedings arising from that mortgage assert that no debt existed.

Formal Requirements

For estoppel by deed to arise, the document must be a formal deed — not merely any written agreement. In Uganda, formal conveyancing documents, mortgage deeds, and instruments executed under the Registration of Titles Act Cap. 240 and the Land Act Cap. 236 typically qualify.

Distinguished from Other Forms

Estoppel by deed is narrower than estoppel by conduct. It is limited to the specific facts stated in the formal deed and to proceedings arising from or relating to that deed. It is distinguished from estoppel by record in that it arises from a private document executed by the parties, not from a court decision.

LESSON SUMMARY — KEY POINTS

- ✓ Estoppel prevents a person from asserting or denying a fact inconsistent with a previous representation when another person has relied on that representation to their detriment
- ✓ Governing provision: Section 114 of the Evidence Act Cap. 8
- ✓ Three elements: clear representation or conduct, actual reliance, and detriment suffered as a result — all three must be present
- ✓ Estoppel by record (res judicata): prevents relitigating matters finally decided — two forms: cause of action estoppel and issue estoppel
- ✓ Only what was necessarily decided for the judgment creates issue estoppel
- ✓ Estoppel by deed: prevents asserting anything inconsistent with facts in a formal executed deed — most common in Ugandan land transactions
- ✓ Relevant statutes for land transactions: Registration of Titles Act Cap. 240, Land Act Cap. 236
- ✓ Stanbic Bank Uganda Ltd v Uganda Crocs Ltd, Civil Appeal No. 4 of 2004 — key Ugandan authority

SELF-TEST QUESTIONS

Attempt these before checking the platform practice quiz.

1. Define estoppel and state the governing provision in the Evidence Act Cap. 8.
2. State the three elements required for estoppel under Section 114 of the Evidence Act Cap. 8.
3. What is the difference between cause of action estoppel and issue estoppel?
4. A seller executes a formal land transfer document in Uganda stating he is the registered owner. He later claims he was not the owner. What form of estoppel applies?
5. Why is estoppel classified as a rule of evidence rather than a rule of substantive law?